ABC News; Trading Economics · 28 October 2026

Australian dollar climbs as markets bet on an RBA rate rise

A hotter-than-expected inflation result pushed up expectations of a November rate rise, lifting the Australian dollar. Against the New Zealand dollar it reached its highest level since early 2013 after New Zealand's central bank unexpectedly left rates on hold.

WHAT HAPPENED

- After the CPI release the **AUD rose about 0.3% to around US70.45c**, closing the day near US70.32c.
- Against the NZ dollar it jumped about **2% to NZ$1.26**, a level not seen since early 2013.
- The trigger in NZ: the **RBNZ held its cash rate at 2.75%** in a 4–3 vote, while markets had expected a 25bp hike. It still signalled that further tightening is probably needed.
- In Australia, market odds of an RBA hike on 3 November rose from about 60% before the CPI to **around 90%**. The cash rate is currently 4.60%.
- Australia's 10-year bond yield (5.22%) now sits **above the US 10-year yield (5.02%)**, which makes Australian assets relatively more attractive to foreign investors.

BY THE NUMBERS

US70.45c
AUD after the CPI release (up ~0.3%)

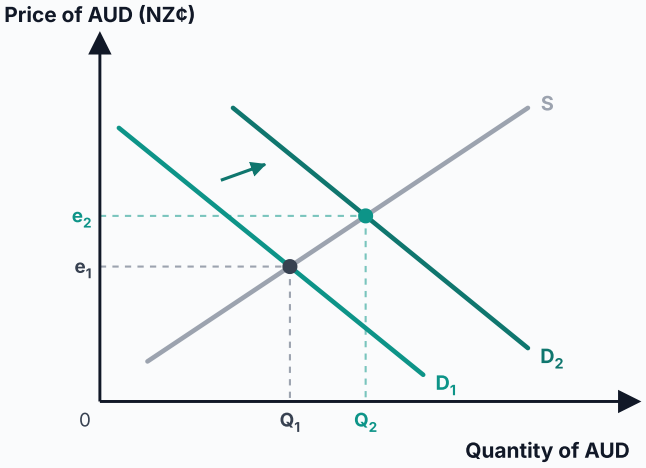
NZ$1.26
Highest AUD/NZD since early 2013

5.22%
Australian 10-year yield vs 5.02% in the US

~90%
Market odds of an RBA hike on 3 Nov

Key terms: interest rate differential · appreciation · financial (capital) inflows · floating exchange rate

DIAGRAM — Why expected rate rises lift the AUD (illustrative, not to scale)



A wider **interest rate differential**, with the RBA expected to hike while the RBNZ holds, raises the return on Australian deposits and bonds.

New Zealand and other foreign investors **demand more AUD** to buy Australian assets, so demand shifts from **D_1 to D_2**. The exchange rate rises from **e_1 to e_2** and the quantity of AUD traded increases from Q_1 to Q_2.

Exam angle: appreciation is part of the RBA's **exchange rate channel**. It makes imports cheaper, which helps lower inflation, but it reduces the international competitiveness of exporters such as tourism, education and agriculture.

SYLLABUS LINK

Topic 2 – Exchange rates: factors influencing the value of the AUD (interest rate differentials, speculation, capital flows) and the effects of an appreciation on trade and the current account.

TRY THIS

Explain how a widening interest rate differential between Australia and New Zealand affects the value of the Australian dollar and Australia's external sector. **(4 marks)**

ABC News, 'ASX surrenders big gains as market puts chance of November hike near 90pc — as it happened', 28 Oct 2026 – https://www.abc.net.au/news/2026-10-28/asx-markets-business-live-news/107316614
Trading Economics via TradingView, 'RBNZ holds cash rate at 2.75% in split decision', 28 Oct 2026 – https://www.tradingview.com/news/te_news:595574:0-rbnz-holds-cash-rate-at-2-75-in-split-decision/

Summary prepared 29 October 2026 · paraphrased from the sources listed